ARC Research

Global Macro & AI Research

Rotation week: tech sinks, small caps hold

Week of Oct 26–30, 2026 · Data as of Oct 30 close

Educational purposes only, not investment advice

AGENDA

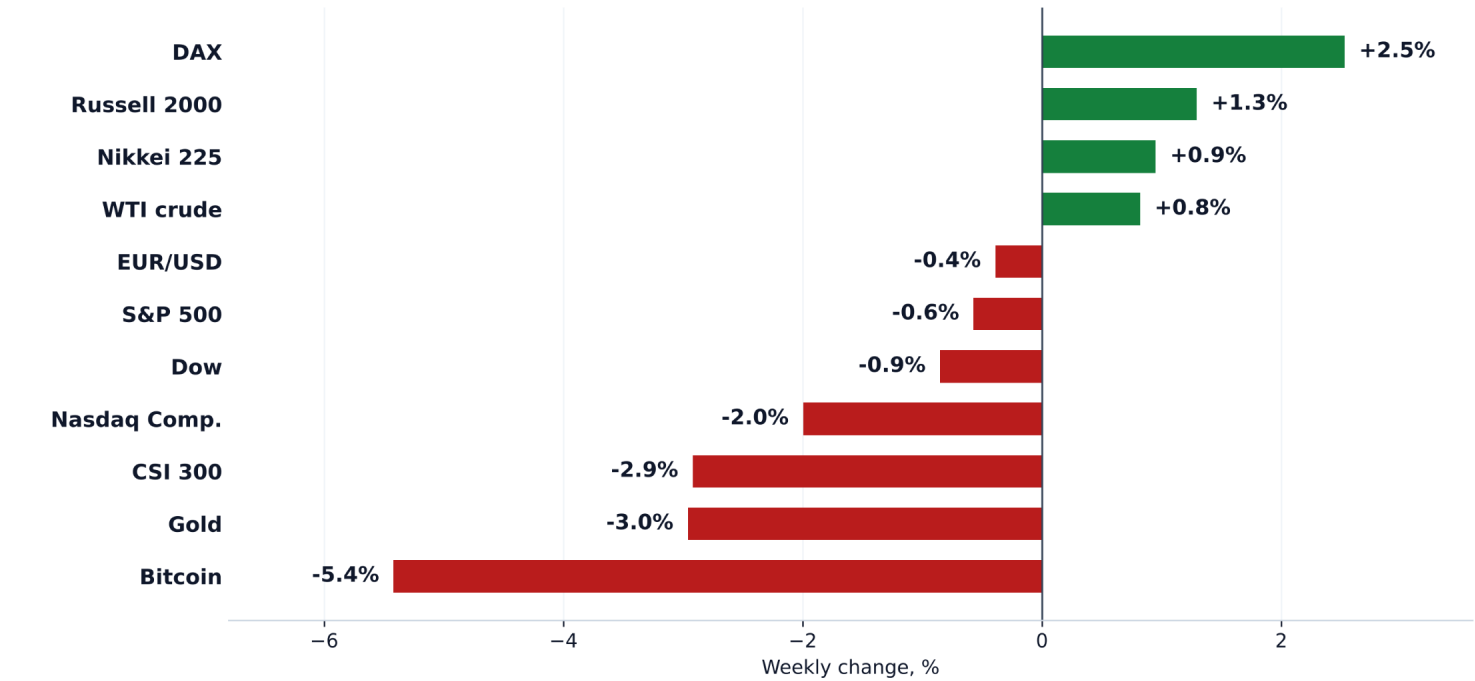
Five sections, one story: the AI trade wobbles

01	**US equities**	Index moves, small caps, sectors, movers	Slides 9–16
02	**Macro, Fed & rates**	Fed hold, curve, US data, central banks	Slides 17–22
03	**Tech & AI**	Earnings, chips, capex, AI funding, Anthropic IPO	Slides 23–31
04	**Global & cross-asset**	World equities map, FX, commodities	Slides 32–34
05	**Week ahead**	Midterms, history, jobs, BoE	Slides 35–38

Also: week in one chart (3) · Day by day (4) · Technicals (5–8) · View (39) · Sources (40)

THE WEEK IN ONE CHART

Out of megacap tech, into everything else



SO WHAT

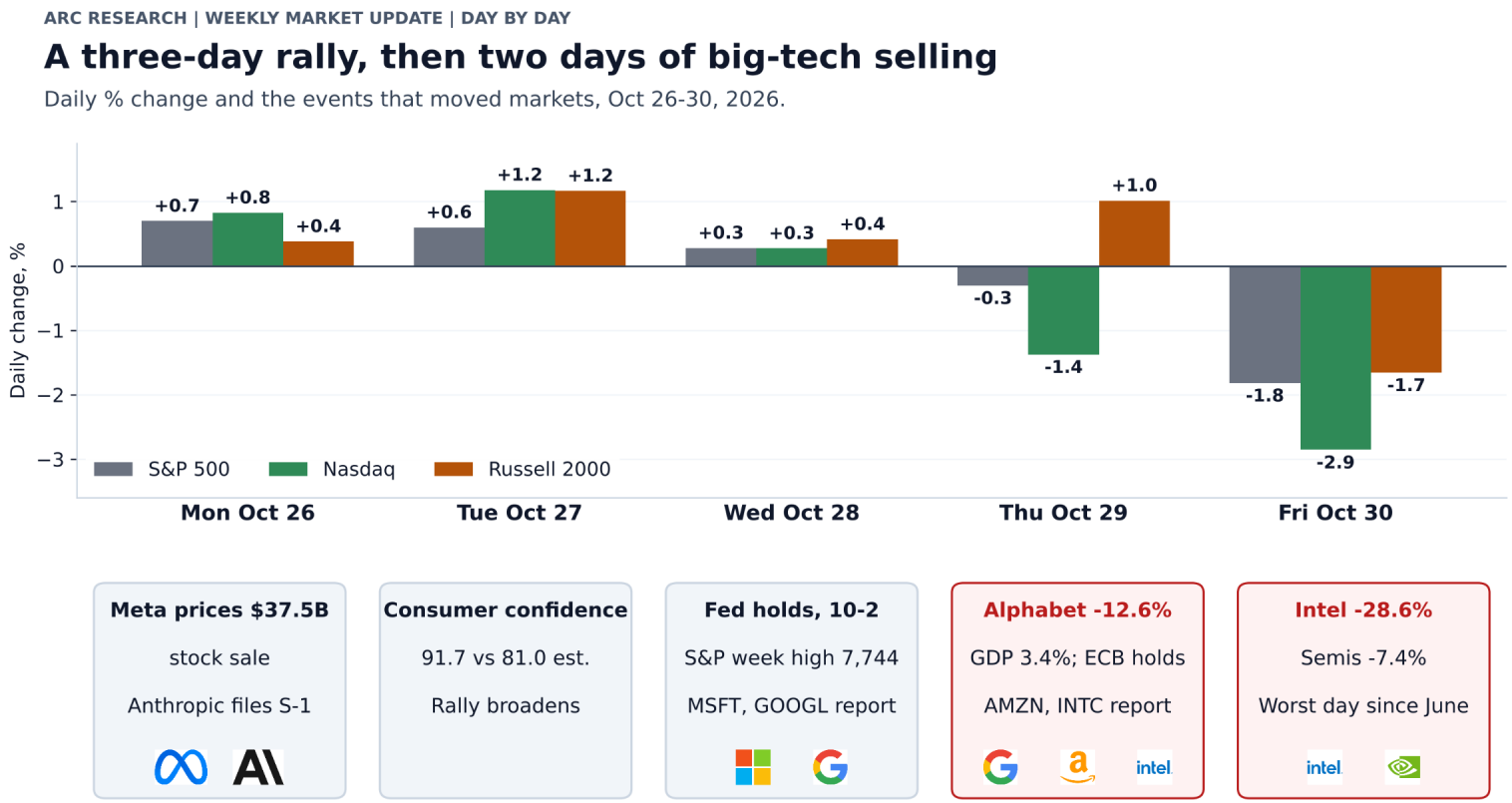
Nasdaq −2.0%, Russell 2000 +1.3%

10-year −6bp to 4.94%

Gold, silver, crypto sold with tech

THE WEEK DAY BY DAY

Three up days, then big tech broke



Source: AP daily index tables (% from closes, ours); Federal Reserve; BEA; Conference Board; Meta and Anthropic (SEC) filings; AP/press for stock moves.

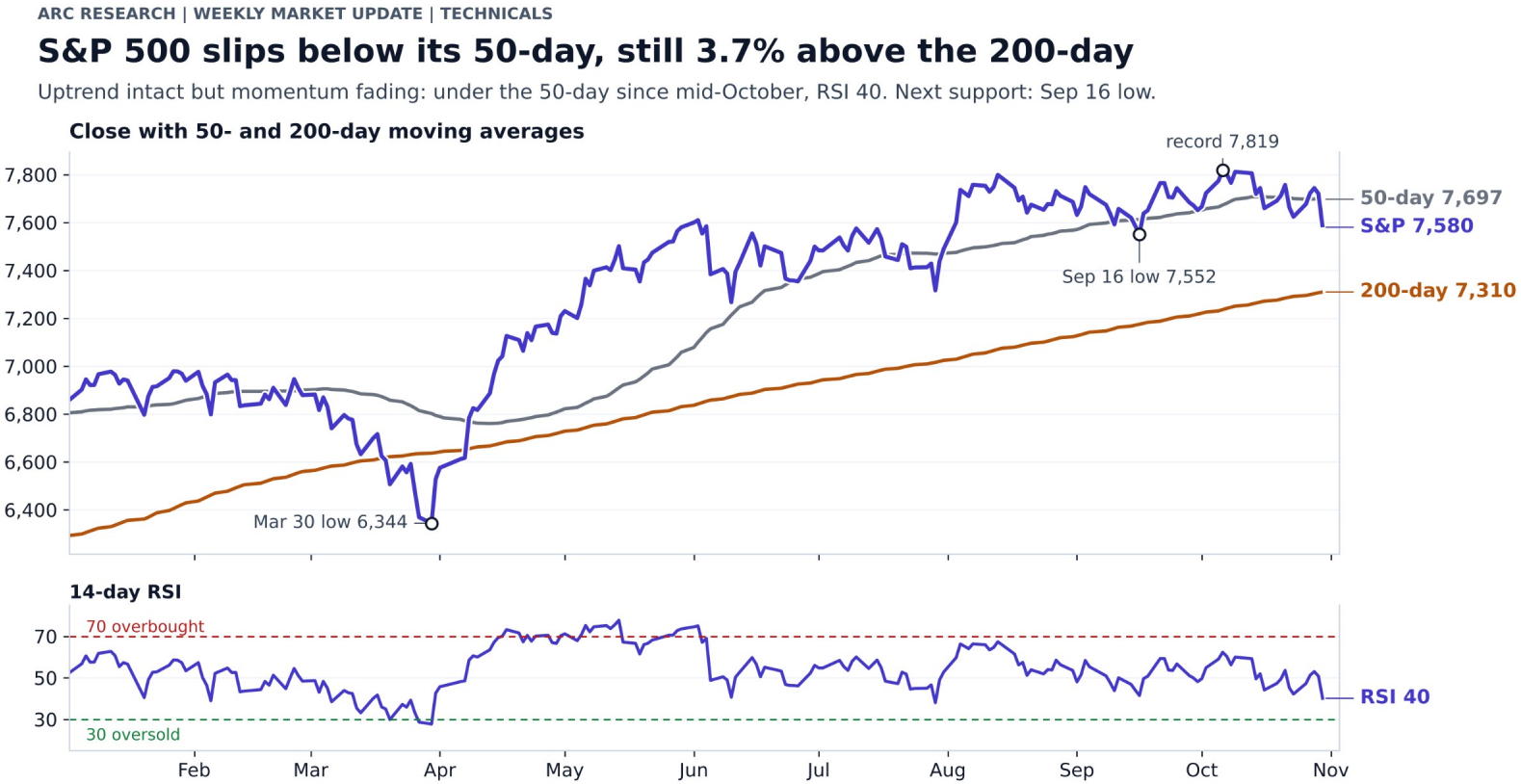
SO WHAT

Mon–Wed: gains into the Fed

Thu: Alphabet sinks Nasdaq

Fri: Intel drags chips, worst day since June

Below the 50-day, above the 200-day



SO WHAT

−1.5% vs 50-day; +3.7% vs 200-day

RSI 40: weak, not oversold

Watch 7,552, then 7,310

TECHNICALS · NASDAQ COMPOSITE

Nasdaq heads for its 200-day



SO WHAT

−7.8% from record; lowest since July

Only 1.5% above the 200-day

RSI 35: near oversold

TECHNICALS · RUSSELL 2000

Small caps: holding the 200-day



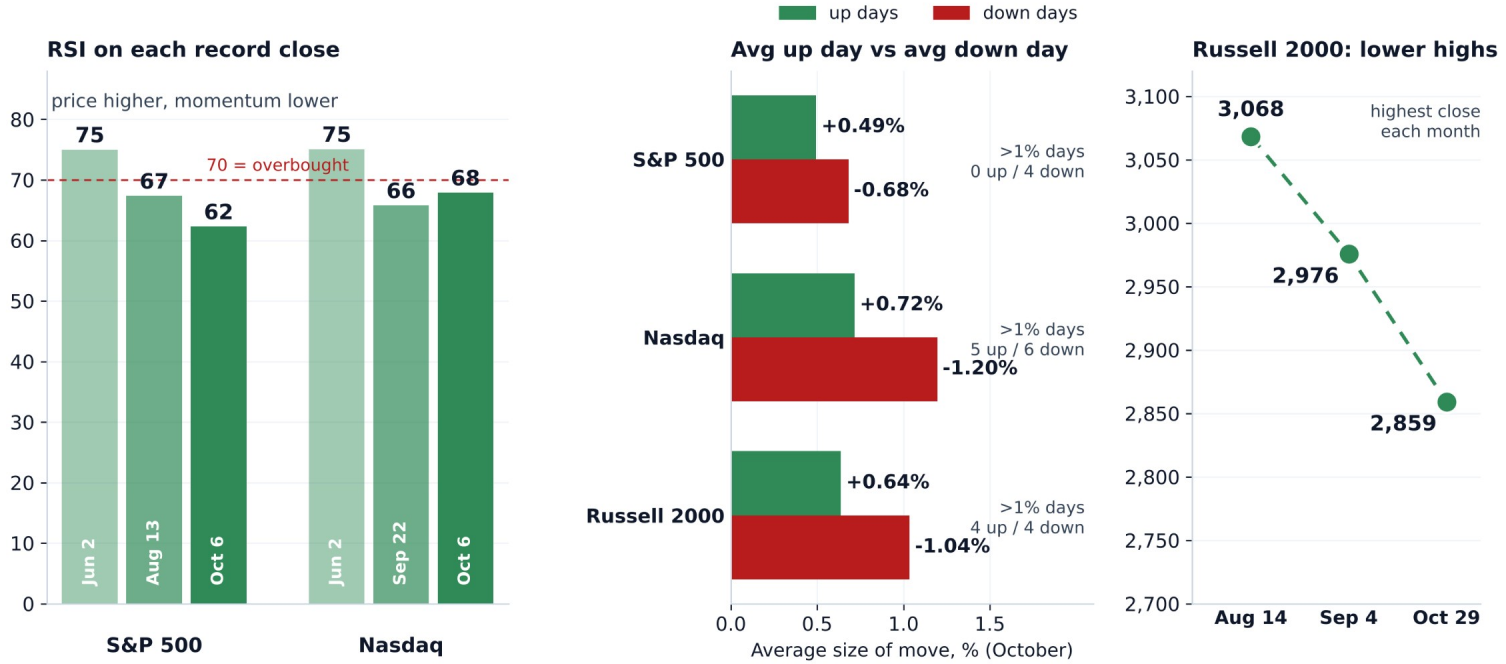
SO WHAT

On the 200-day; −1.7% vs 50-day

RSI 50: rebounded from oversold

Watch 2,860 above, 2,721 below

Rallies keep losing steam



SO WHAT

New highs, weaker RSI

Down days bigger than up days

S&P: no +1% day in October

Small caps: three lower highs

SECTION 1 OF 5

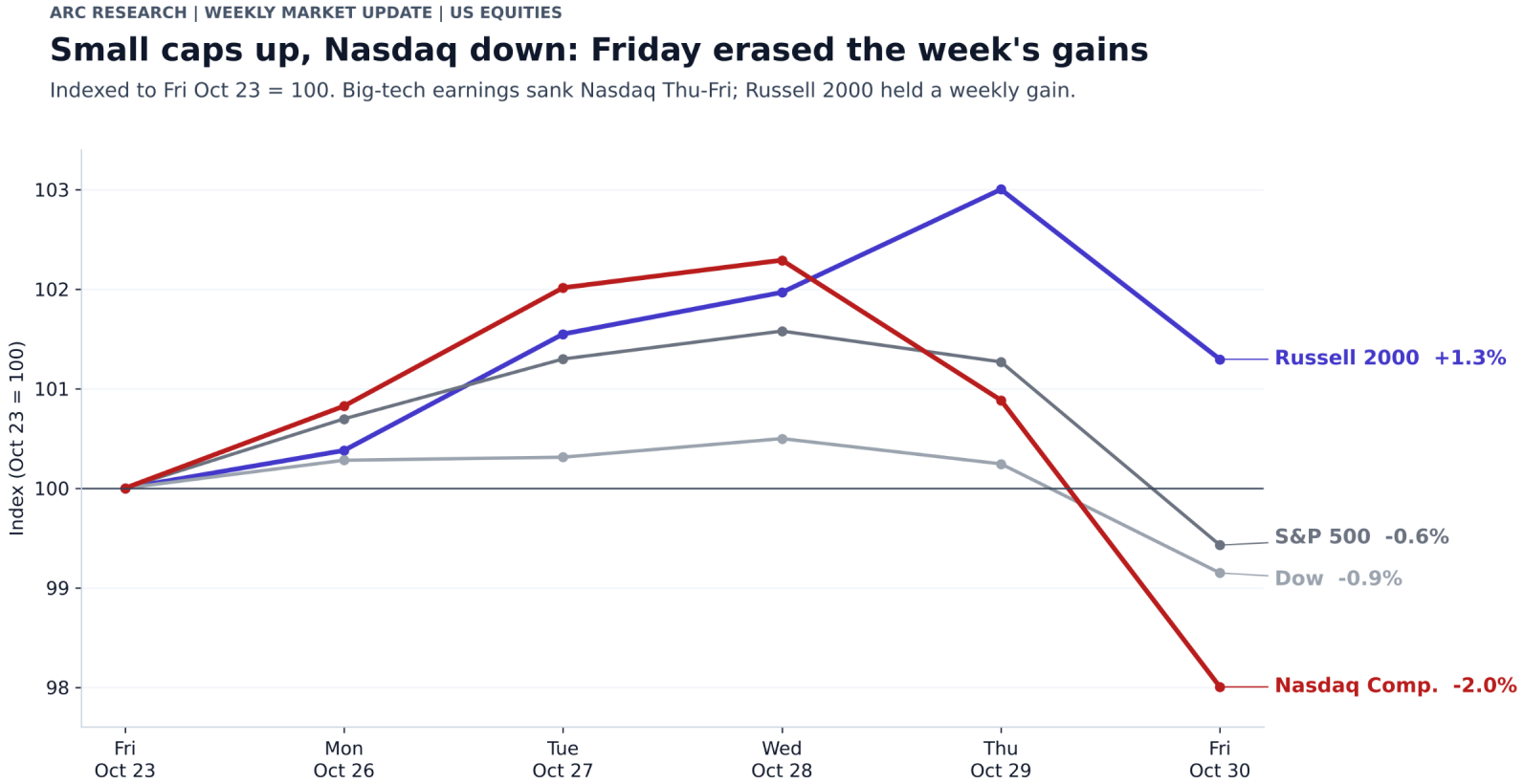
US equities

Tech sank, small caps rose, nine sectors gained

10 Daily index path
11 Small caps vs Nasdaq
12 Why small caps are winning
13 Small caps: value vs growth
14 Value vs growth: technicals
15 Sector rotation
16 Biggest movers

US EQUITIES · DAILY PATH

Up to Wednesday, then earnings hit tech



SO WHAT

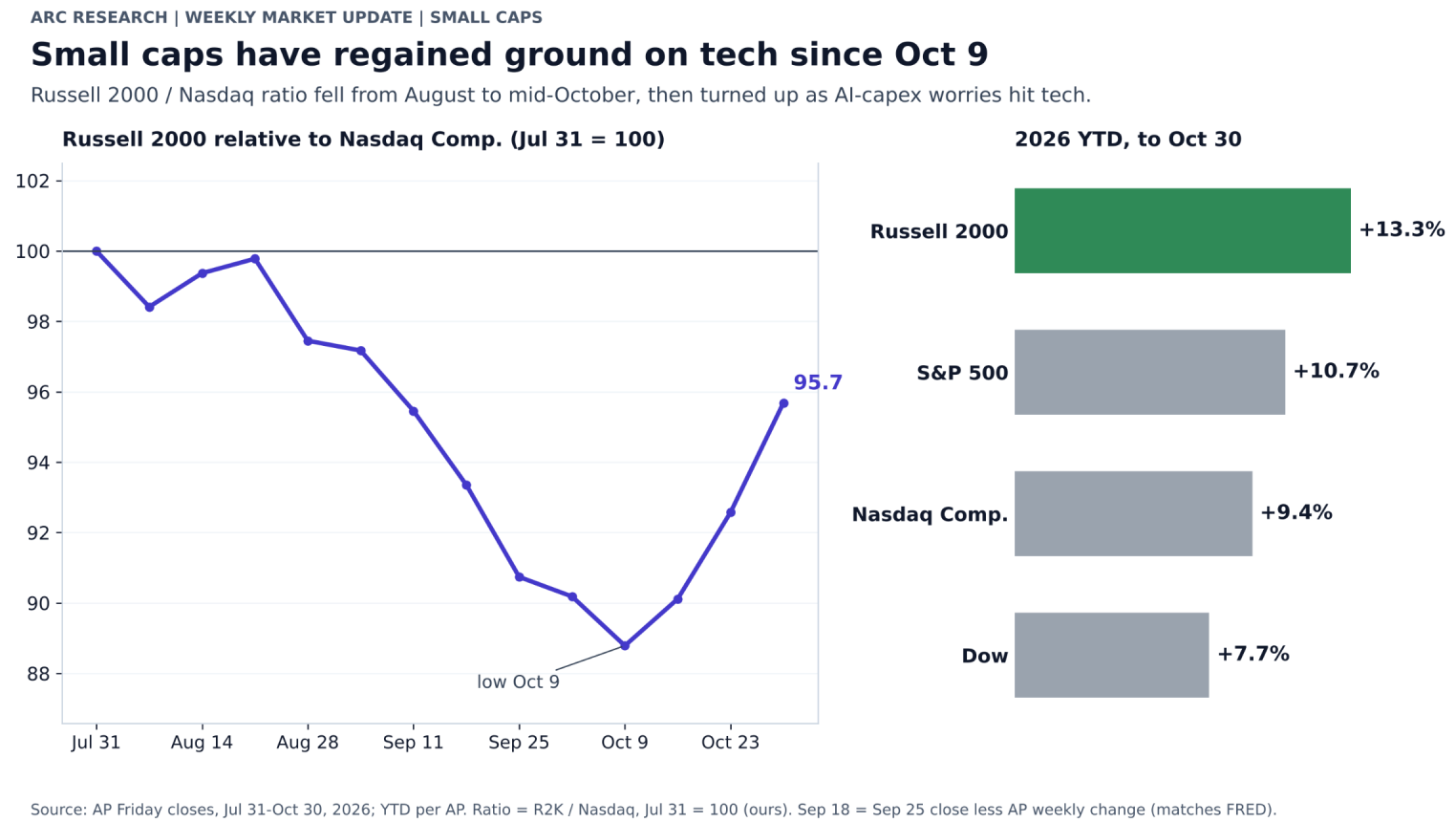
S&P peaked Wednesday at 7,744

Friday: S&P −1.8%, Nasdaq −2.9%

Small caps kept a weekly gain

US EQUITIES · SMALL CAPS

Small caps lead the year again



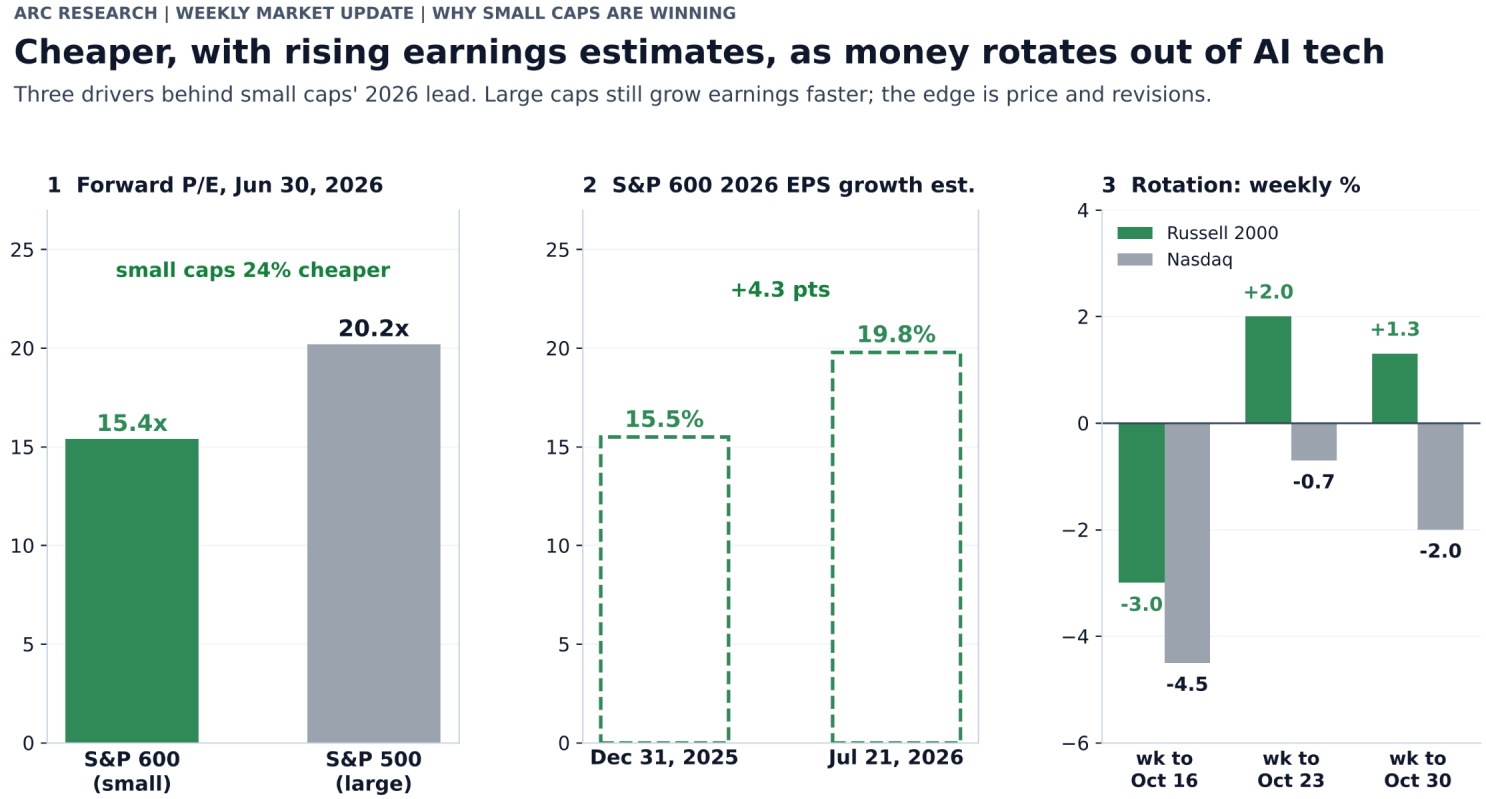
SO WHAT

Russell 2000 YTD +13.3%, top index

Relative low Oct 9; up 3 weeks since

Rotation, not risk-off

Cheaper, revised up, and a home for rotation



SO WHAT

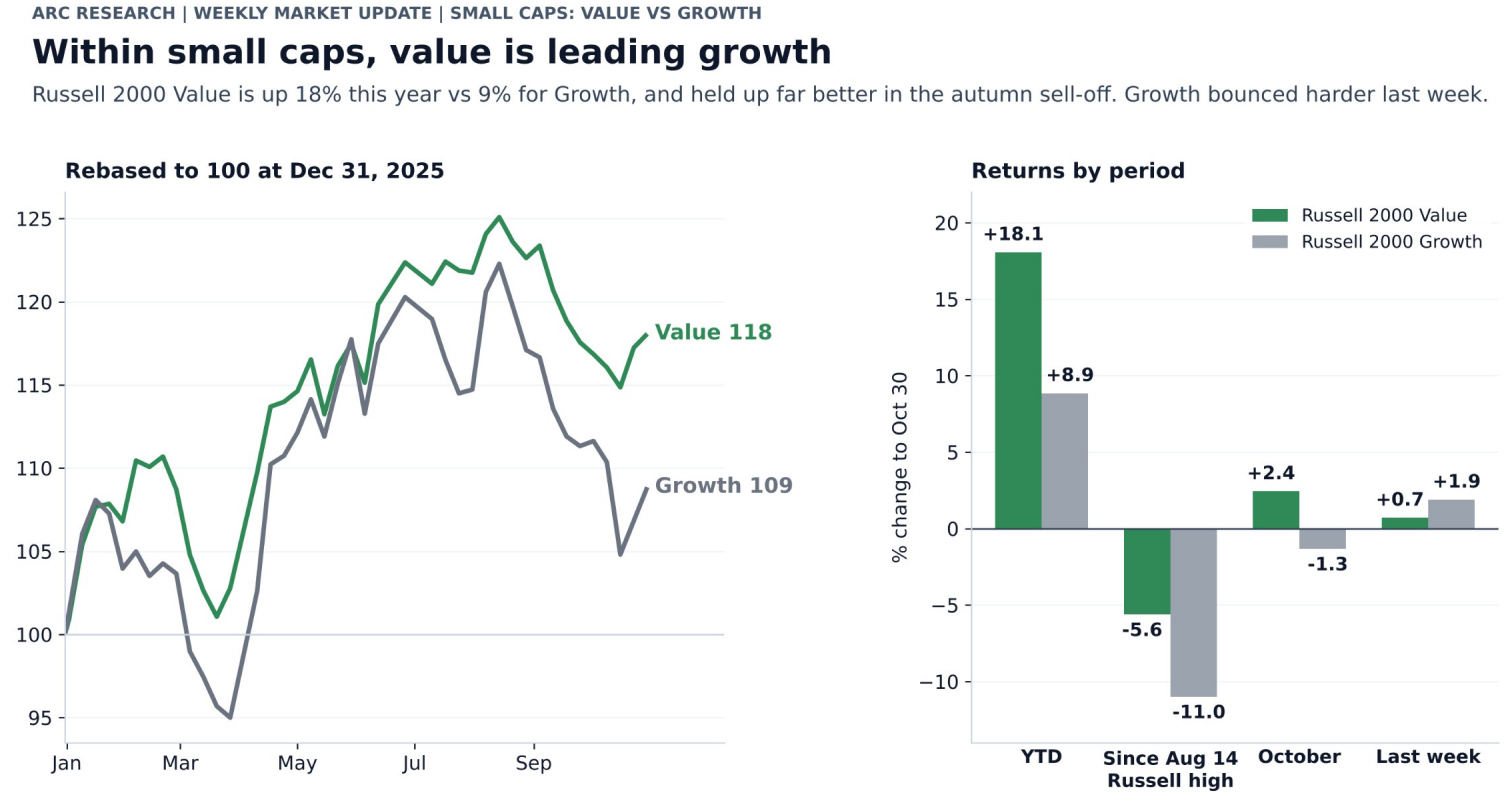
15x vs 20x earnings

Estimates raised all year

Beat Nasdaq 3 weeks running

Risk: debt costs, rates near 5%

The small-cap bid is going to value



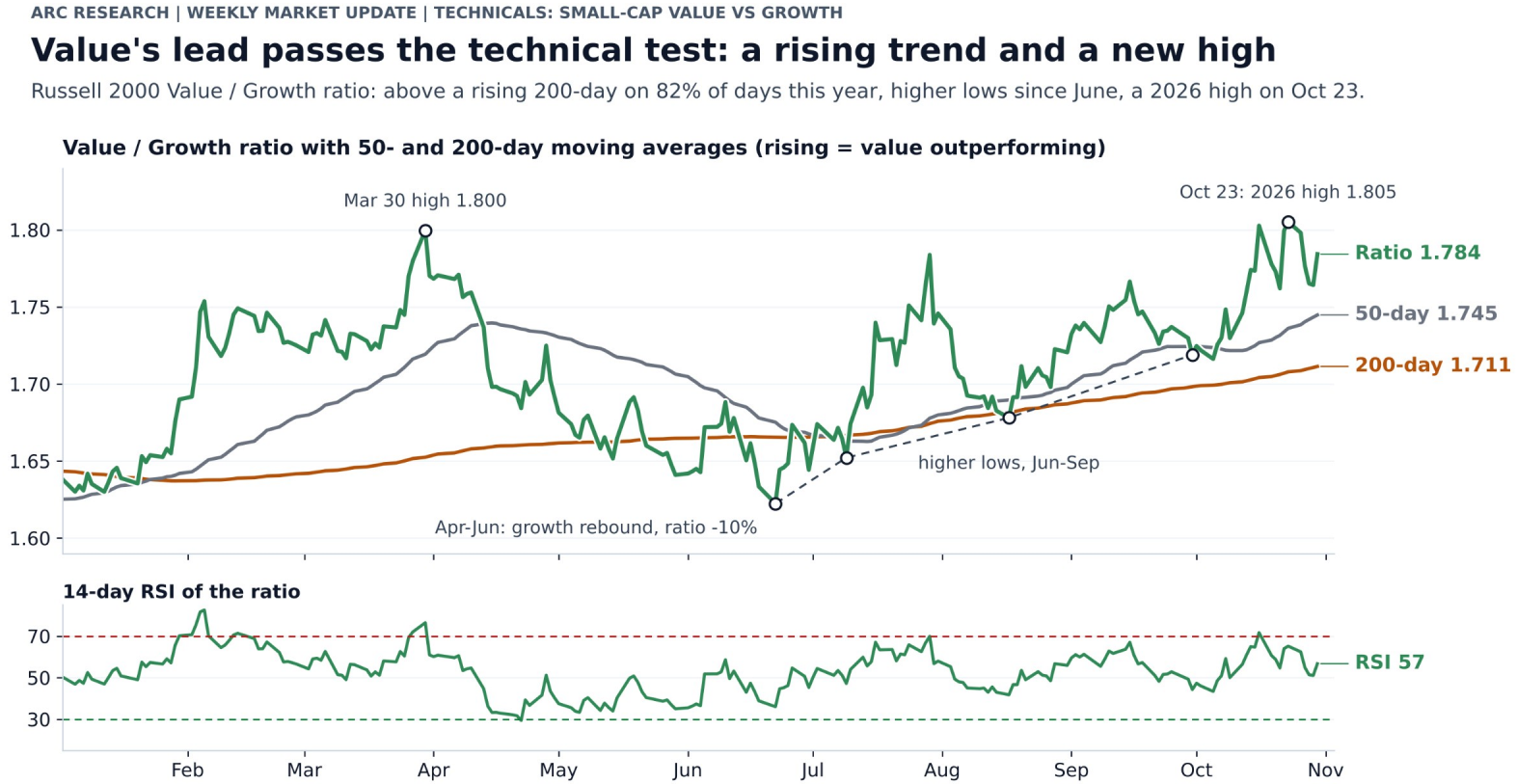
SO WHAT

Value +18% YTD, growth +9%

October: value up, growth down

Last week: growth bounced more

Is value's lead real? The chart says yes



SO WHAT

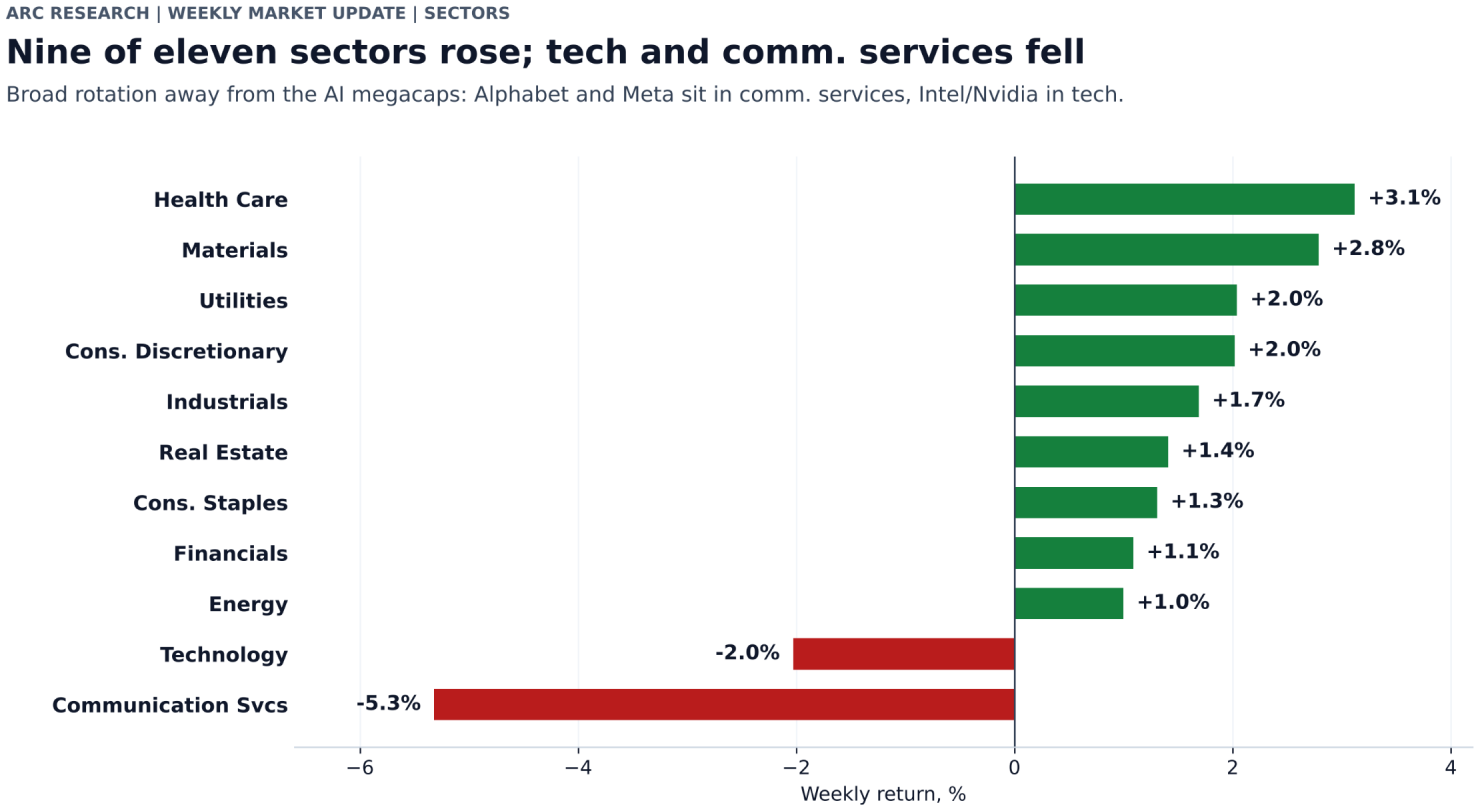
Above a rising 200-day: trend

Higher lows, new high Oct 23

But choppy: won 23 of 44 weeks

Breaks if it loses ~1.71

Nine sectors up; tech and comm. services down



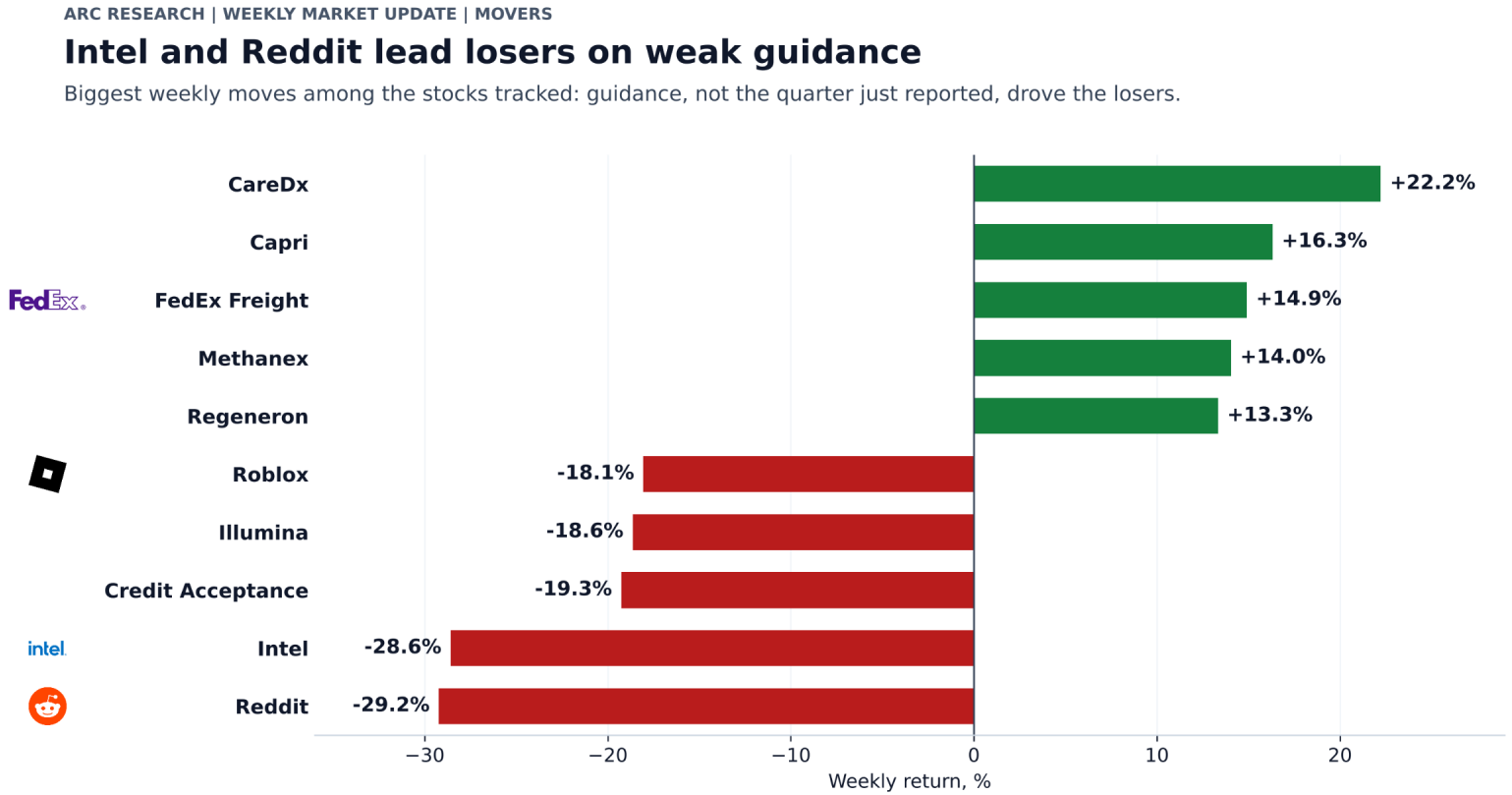
SO WHAT

Comm. services −5.3%: Alphabet, Meta

Health care led, +3.1%

Breadth good, index weak

Guidance, not results, drove the losers



Source: tapeboard.com weekly recap, week to Oct 30, 2026 (weekly % change, Friday closes). Intel -28.6% on Fri Oct 30 alone (AP via KSL).

SO WHAT

Intel −28.6% in one day

Reddit −29.2% on a soft Q4 guide

Winners: health care, freight

SECTION 2 OF 5

Macro, Fed & rates

A hawkish hold, a bond rally, strong growth

18 Fed: 10–2 hold
19 Treasury curve
20 10-year in context
21 US data: GDP, PCE, ECI
22 Global central banks

A hold with a hawkish tilt



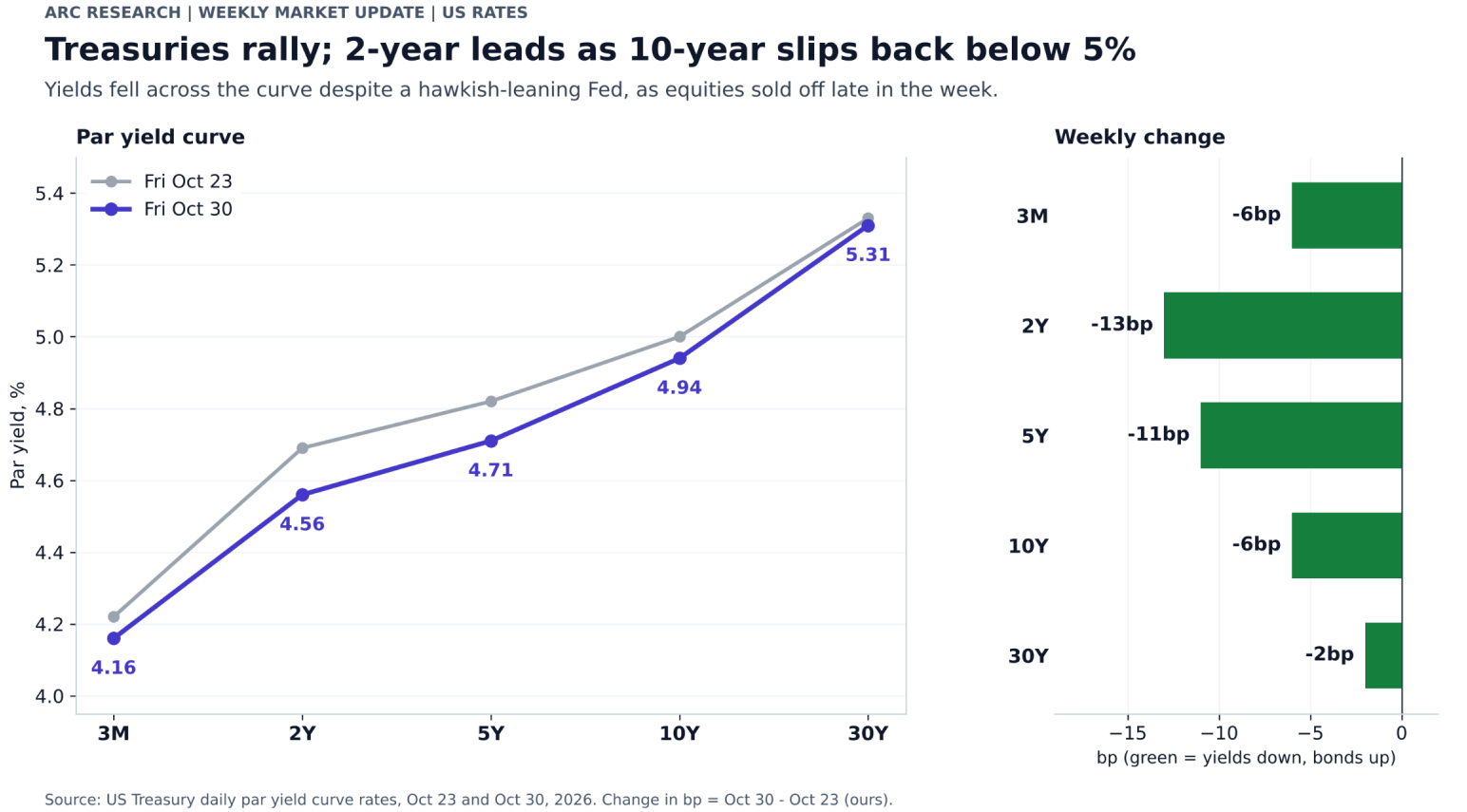
SO WHAT

Cook, Hammack dissented for a hike

December hike priced ~71–85%

Statement: “will deliver price stability”

Bonds rallied as stocks fell



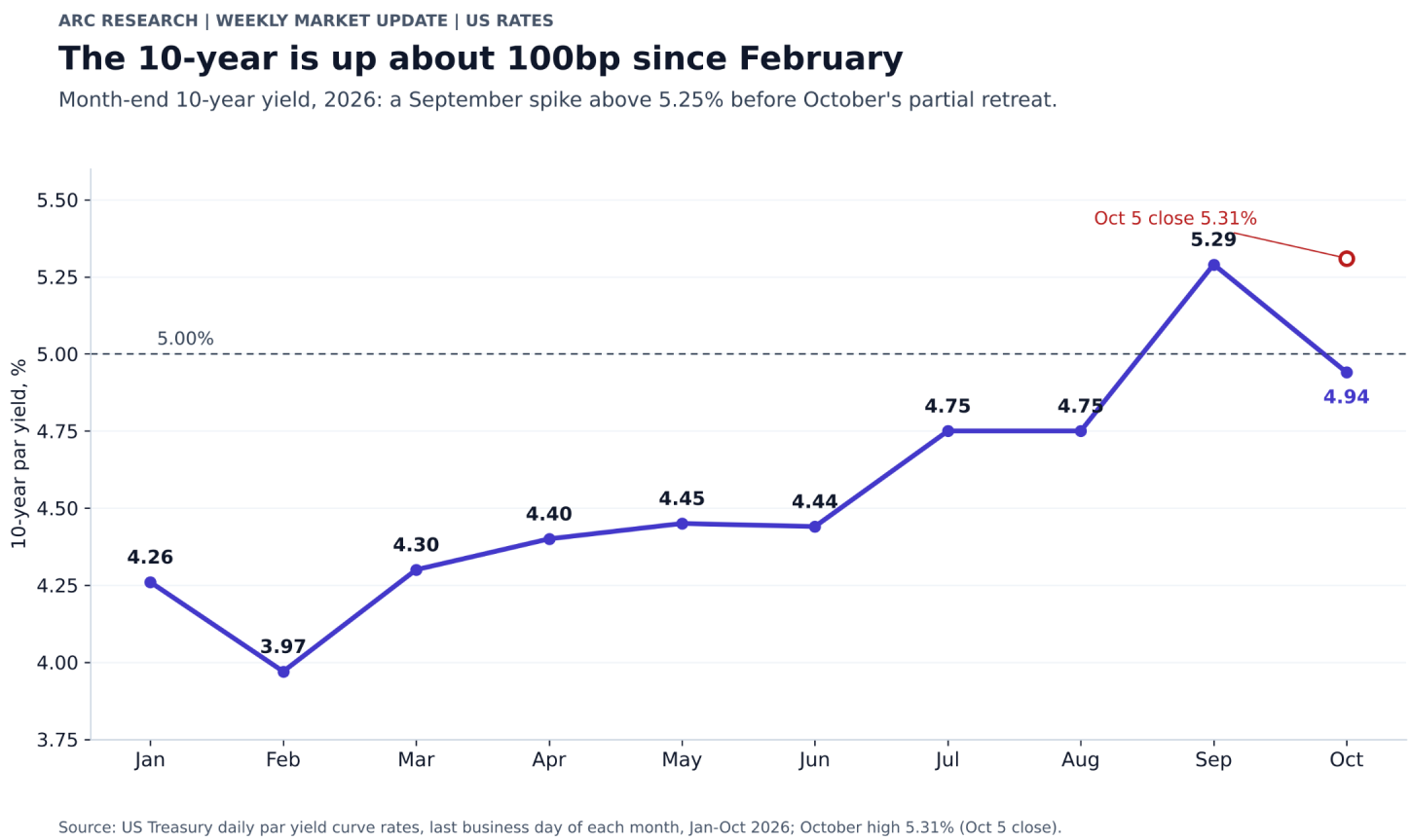
SO WHAT

2-year −13bp to 4.56%

10-year back under 5%: 4.94%

Curve steepened: 2s10s 31 → 38bp

The 10-year: ~100bp higher since February



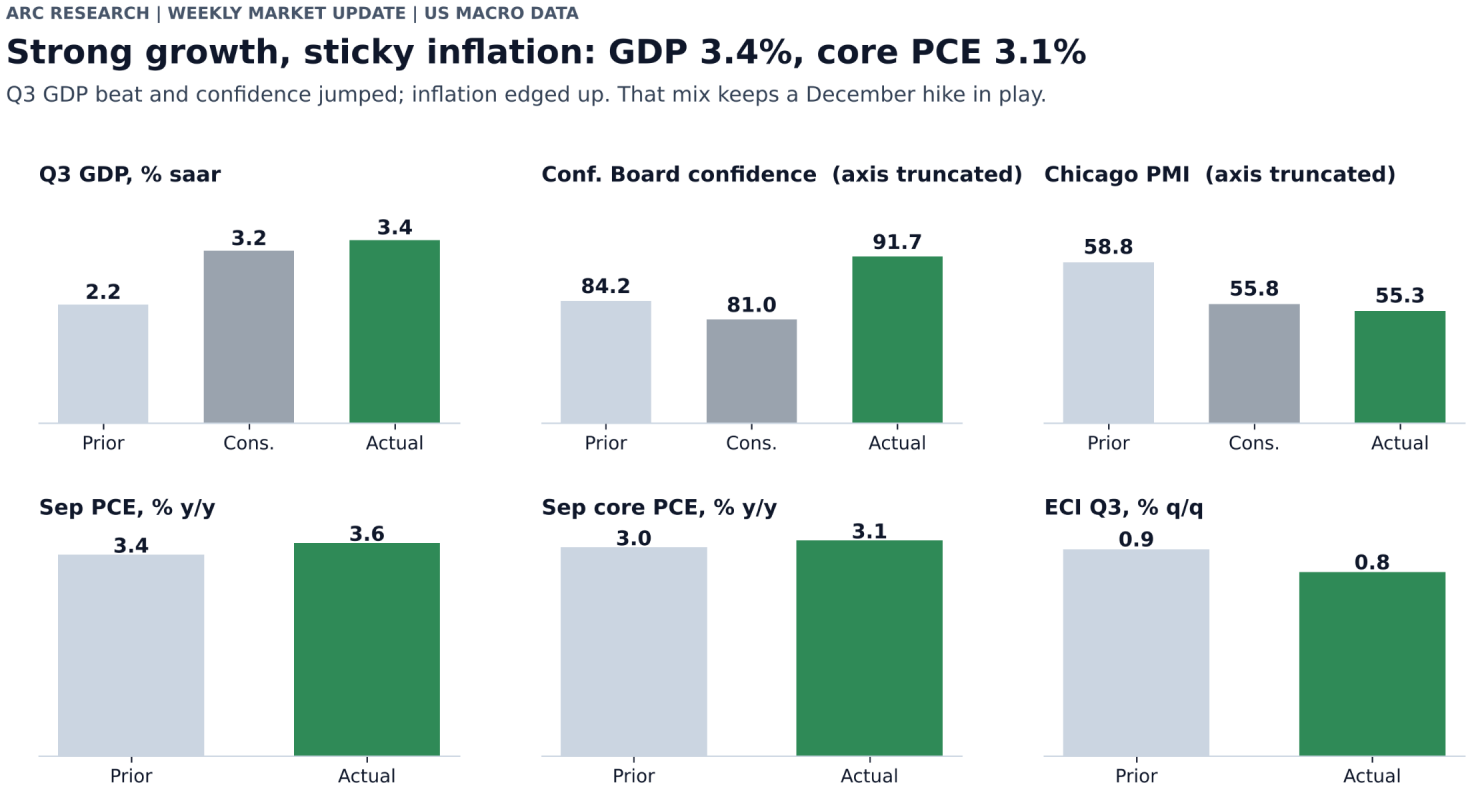
SO WHAT

Feb 3.97% → Oct 4.94%

Peak 5.31% on Oct 5

Higher rates squeeze long-duration tech

Hot growth, sticky inflation



SO WHAT

Q3 GDP 3.4%, beat 3.2%

Core PCE up to 3.1% y/y

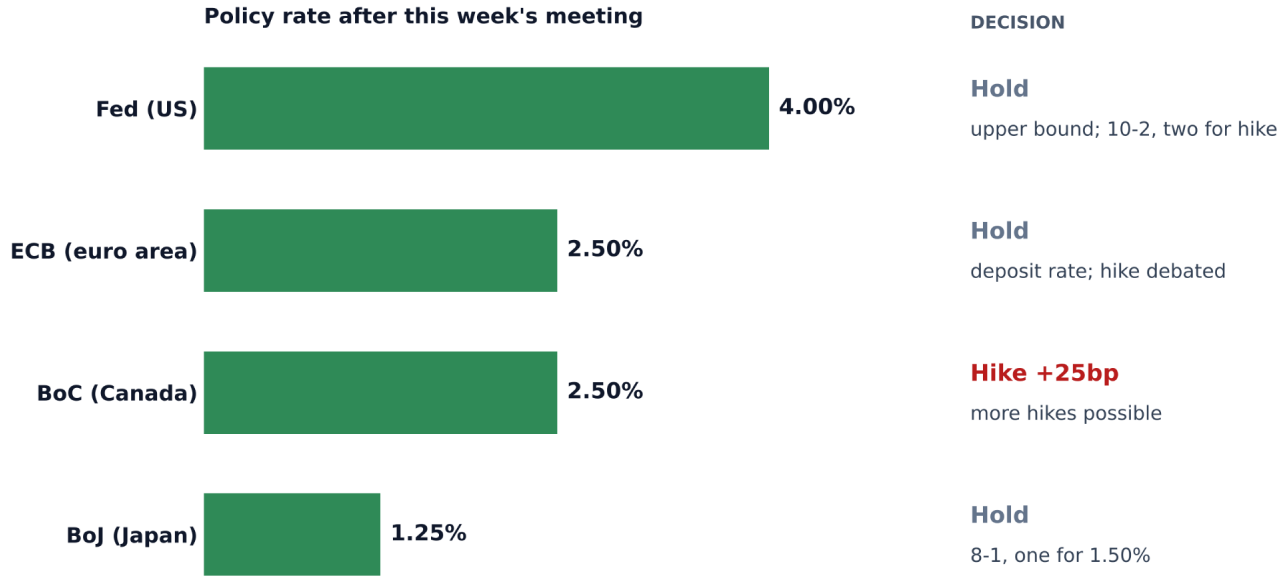
Wage growth cooled: ECI 0.8% q/q

Four meetings, no cuts

ARC RESEARCH | WEEKLY MARKET UPDATE | GLOBAL CENTRAL BANKS

Four central banks, no cuts: the global bias is to tighten

Canada hiked; the ECB debated a hike; the BoJ had a hawkish dissent. BoE meets Nov 5.



Source: Federal Reserve (Oct 28), Bank of Canada (Oct 28), Bank of Japan (Oct 30) statements; ECB Oct 29 decision as reported in press (ECB site not retrieved).

SO WHAT

Canada hiked to 2.50%

ECB debated a hike

BoE next: a hike
~99% priced

SECTION 3 OF 5

Tech & AI

Strong clouds, bigger capex bills, harsh reactions

24 Big tech: cloud growth

25 Chips: Intel, Samsung, SK hynix

26 Capex and guidance

27 How the capex is funded

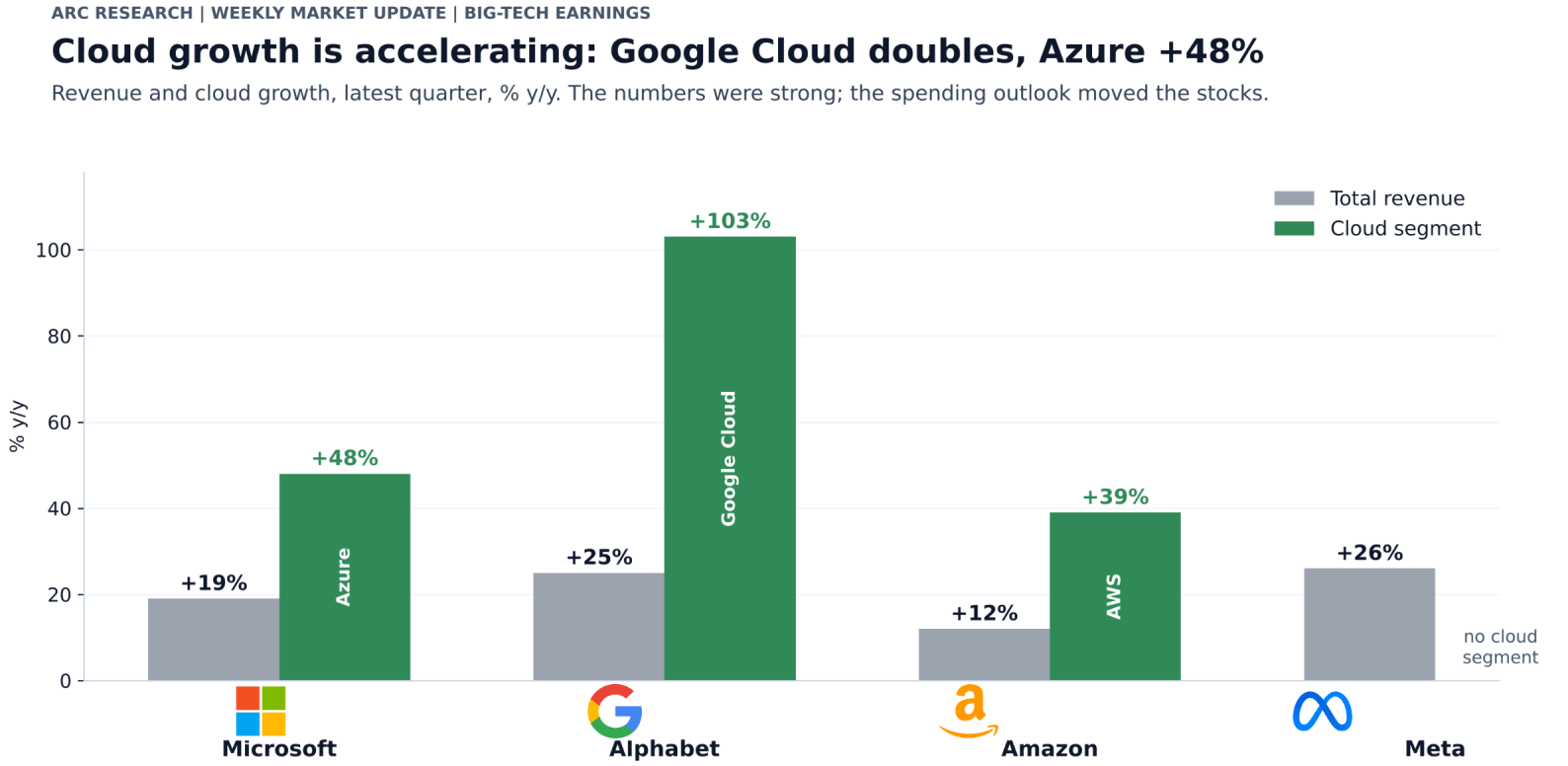
28 Stock reactions

29 AI model leaderboard

30 AI financing

31 Anthropic S-1

AI demand is real: cloud growth accelerates



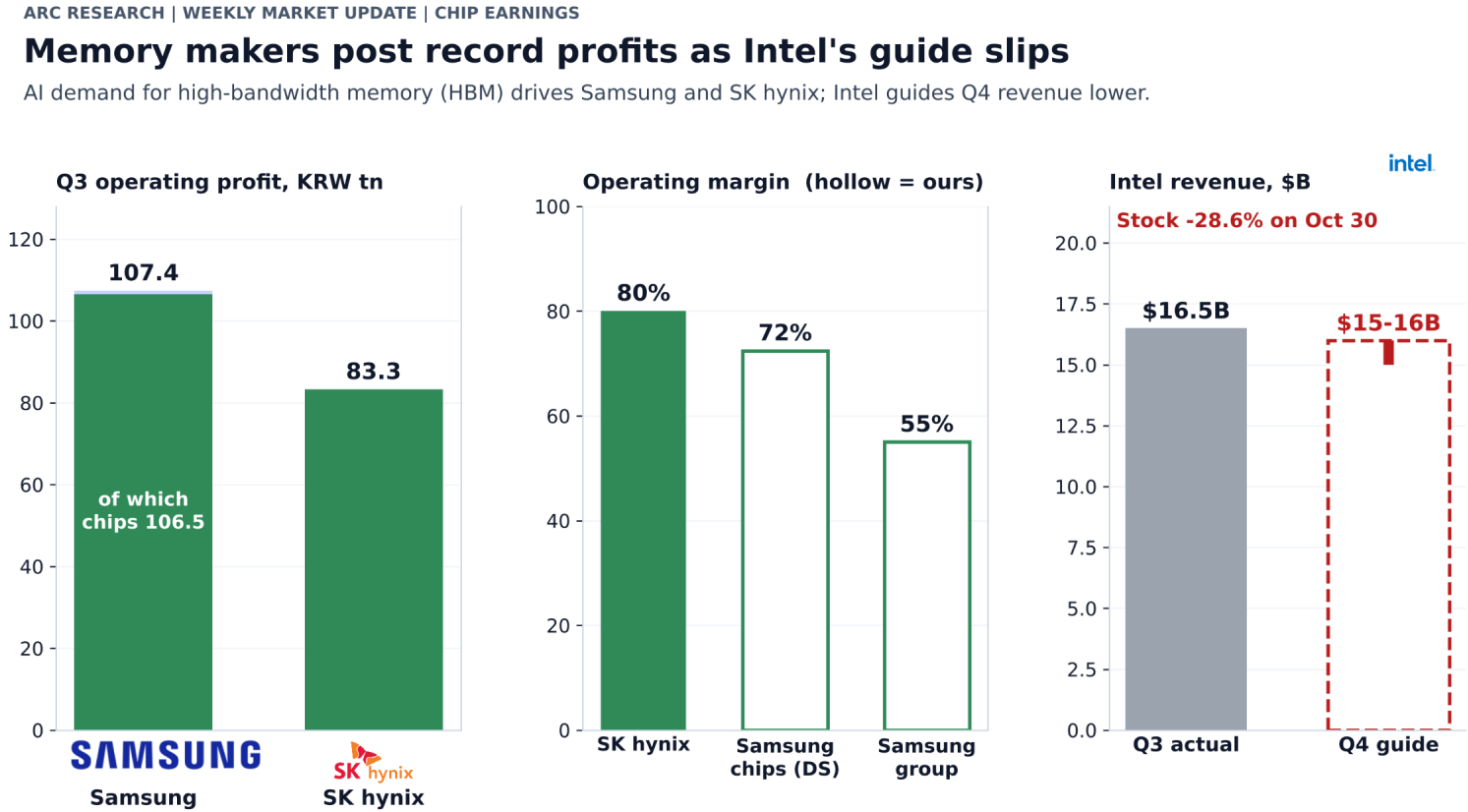
SO WHAT

Google Cloud +103%

Azure +48%; RPO $677B, +73%

AWS +39%; Amazon missed on EPS

Memory booms, Intel stumbles



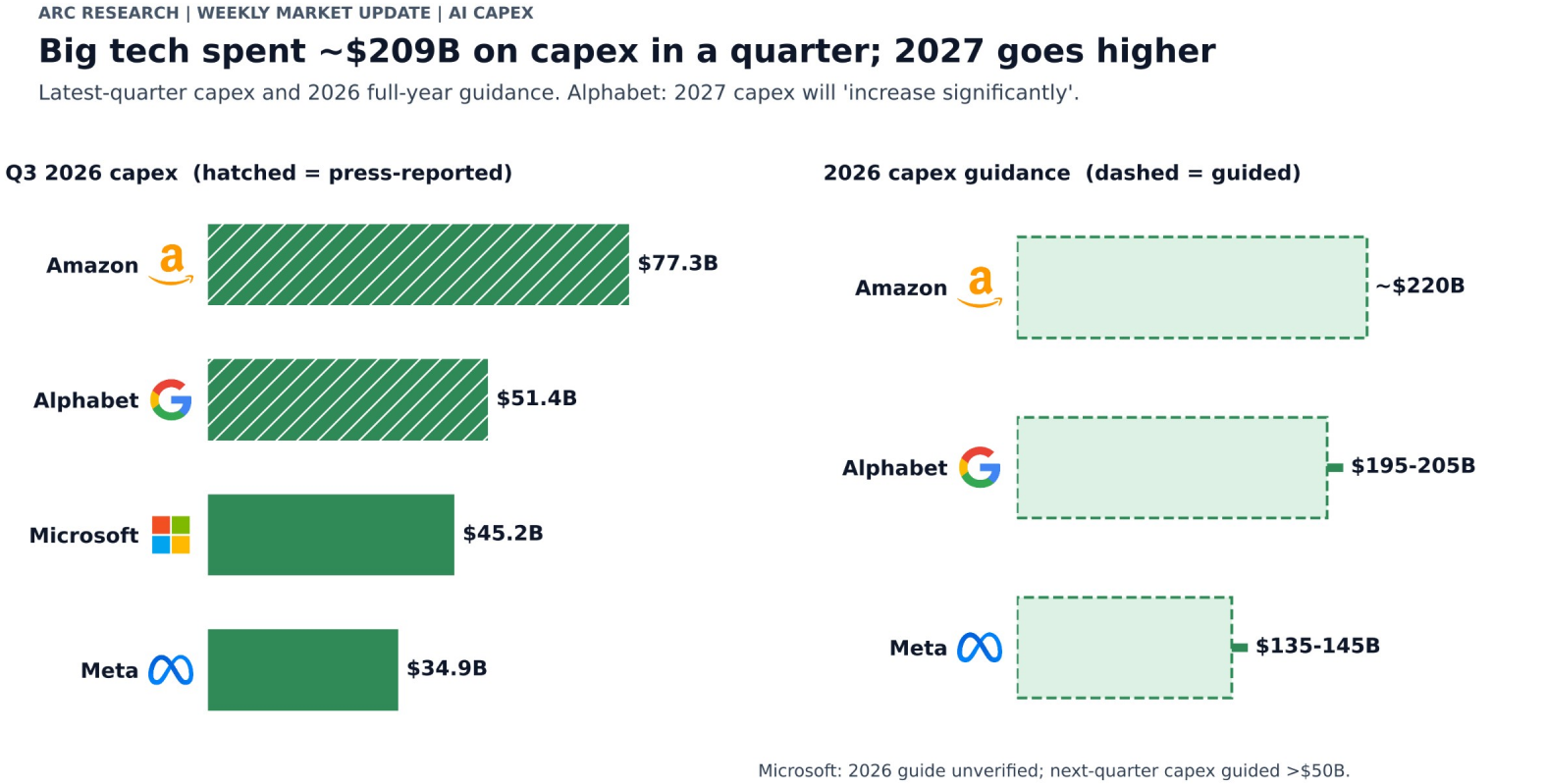
SO WHAT

Samsung: record ₩107.4tn profit

SK hynix: 80% margin, sales +328%

Intel: Q4 guide below Q3

The capex bill keeps rising



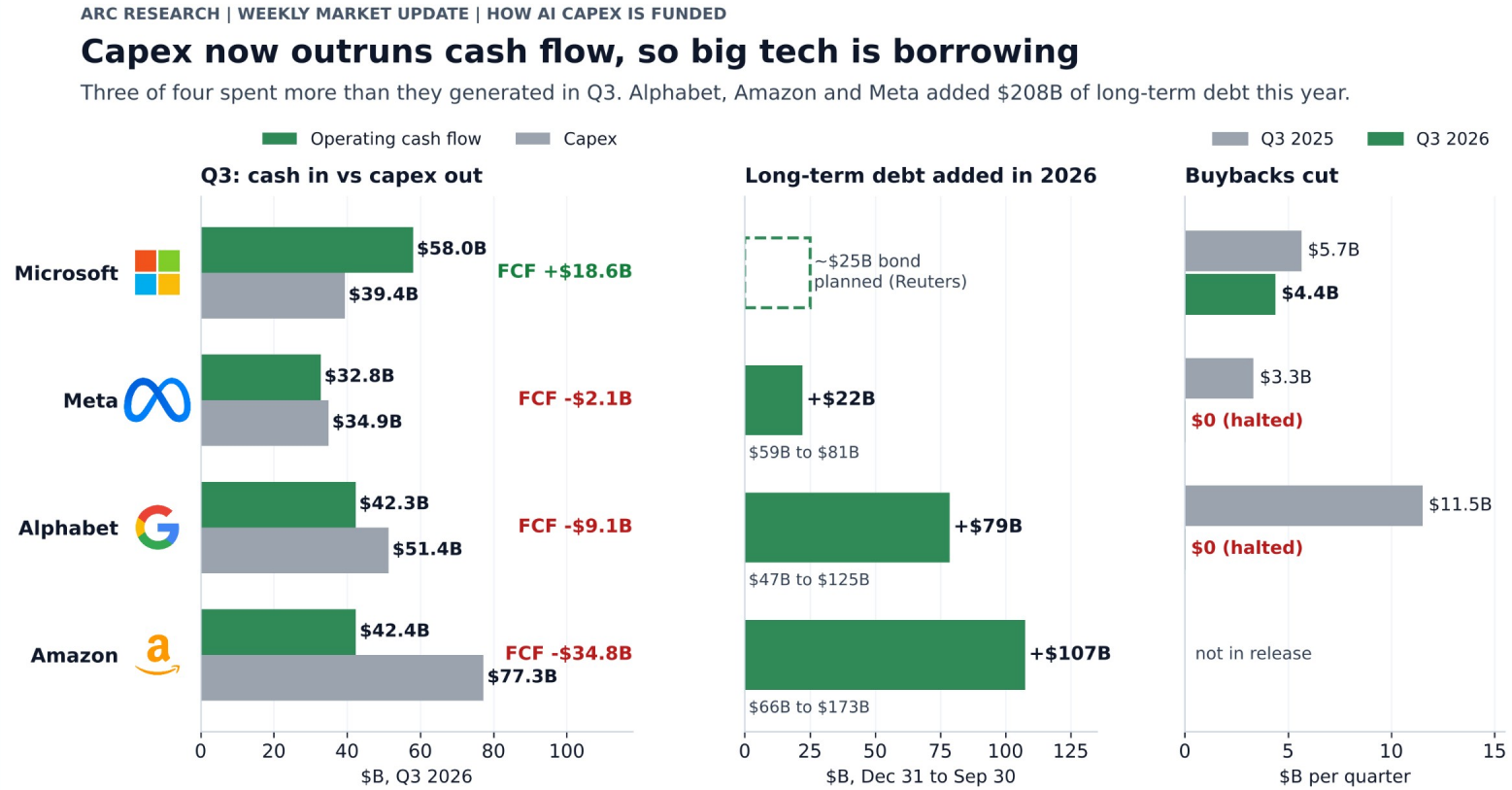
SO WHAT

~$209B spent in one quarter

Alphabet: 2027 up “significantly”

Free cash flow is the worry

Debt first, then equity, fewer buybacks



SO WHAT

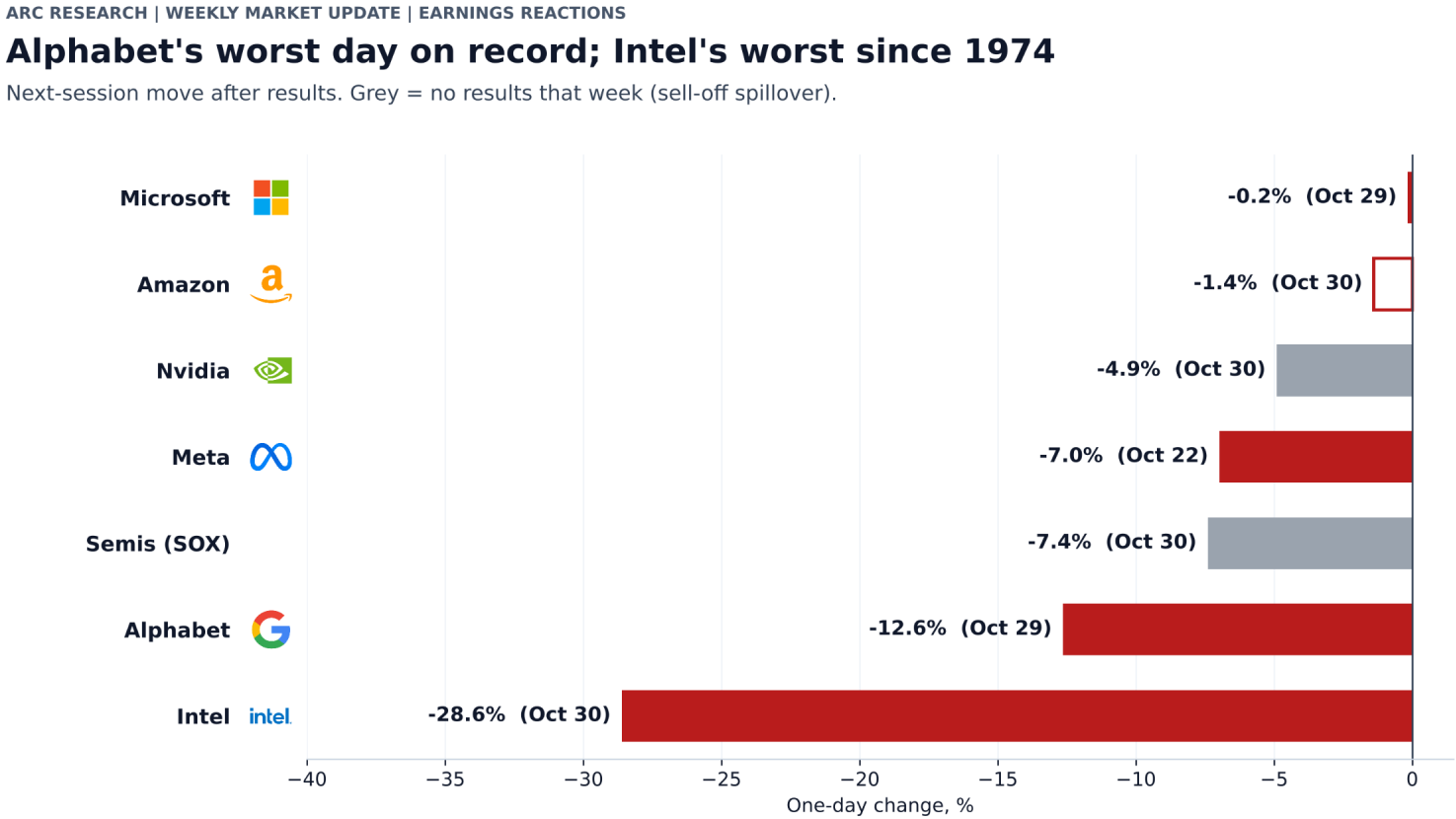
Debt: +$208B in 2026

Equity: Meta $37.5B, $60B more proposed

Buybacks halted at Alphabet, Meta

Microsoft: still funds from cash

Record-breaking falls for Alphabet and Intel



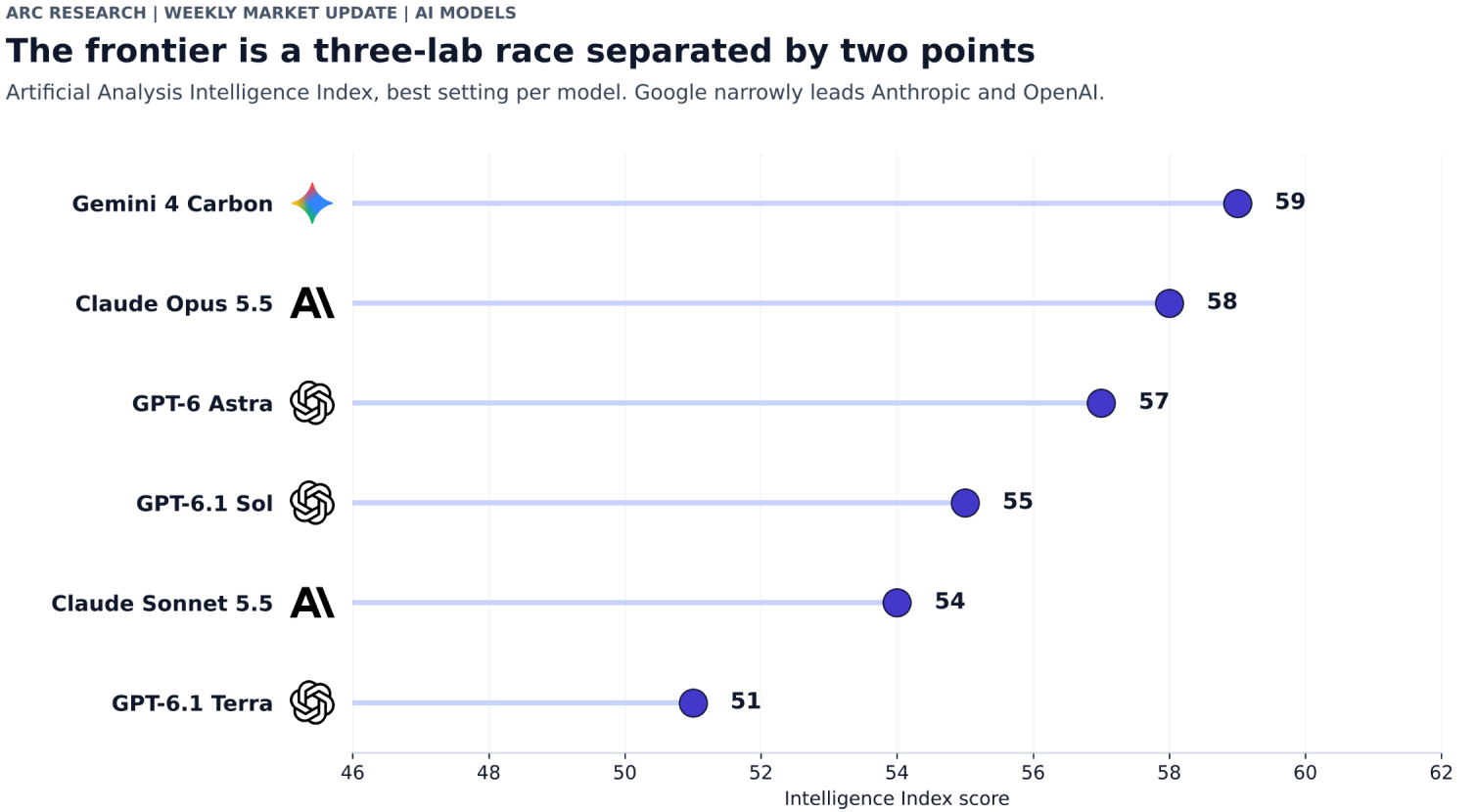
SO WHAT

Alphabet −12.6%: ~$480B lost

Microsoft beat, still flat

Semis −7.4% Friday

Three labs, two points apart



SO WHAT

Google leads: Gemini 4 Carbon 59

Claude Opus 5.5 58, GPT-6 Astra 57

Model lead is not a moat

AI now needs outside money



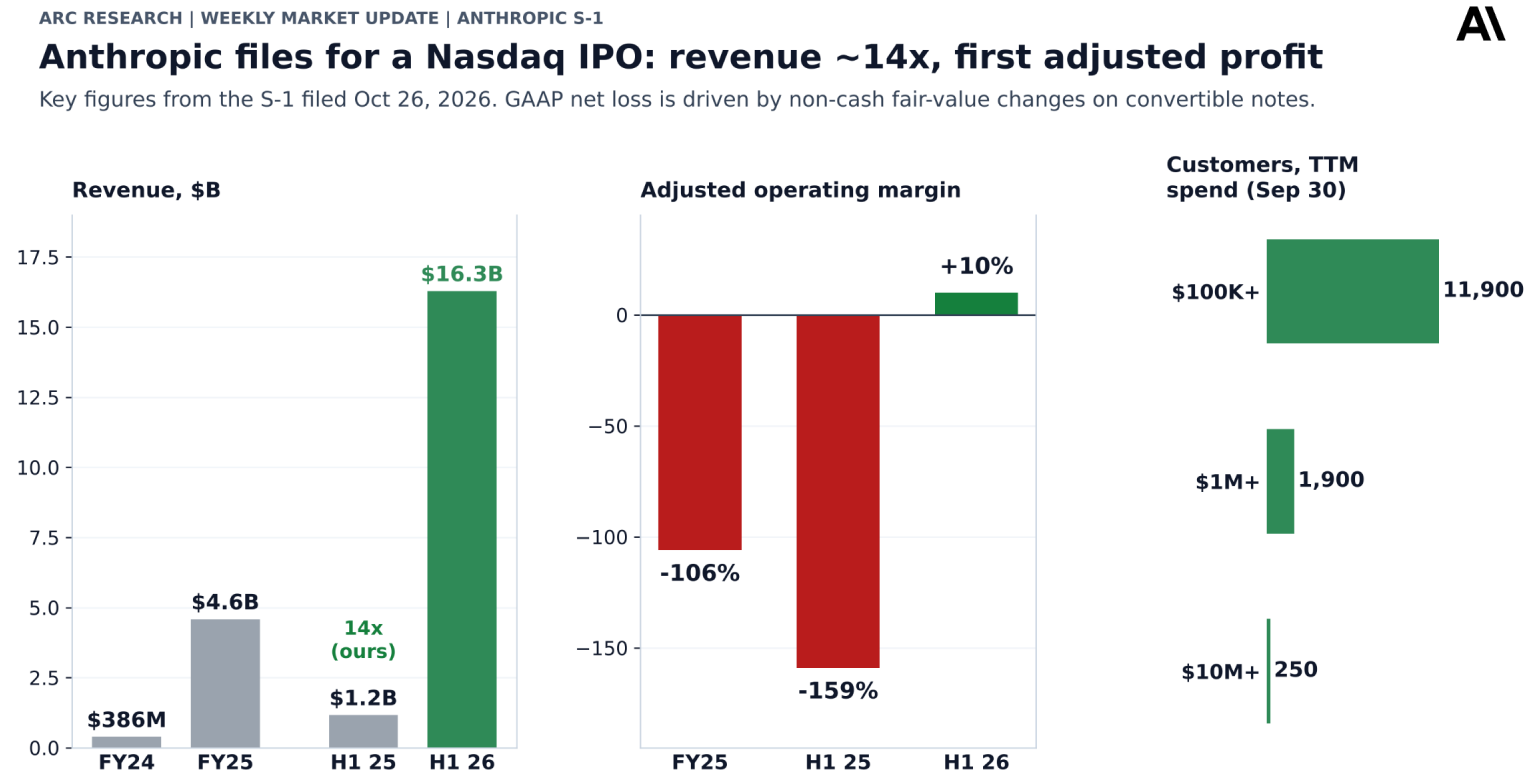
SO WHAT

Meta priced $37.5B of stock

Nasdaq-100 −5.8% in October

Supply of AI paper is rising

Anthropic’s S-1: revenue ~14x, adjusted profit



KEY FACTS

Nasdaq: ANT · filed Oct 26

$132B cash and investments

GAAP net loss $81B: non-cash

Benefit Trust elects board majority

SECTION 4 OF 5

Global & cross-asset

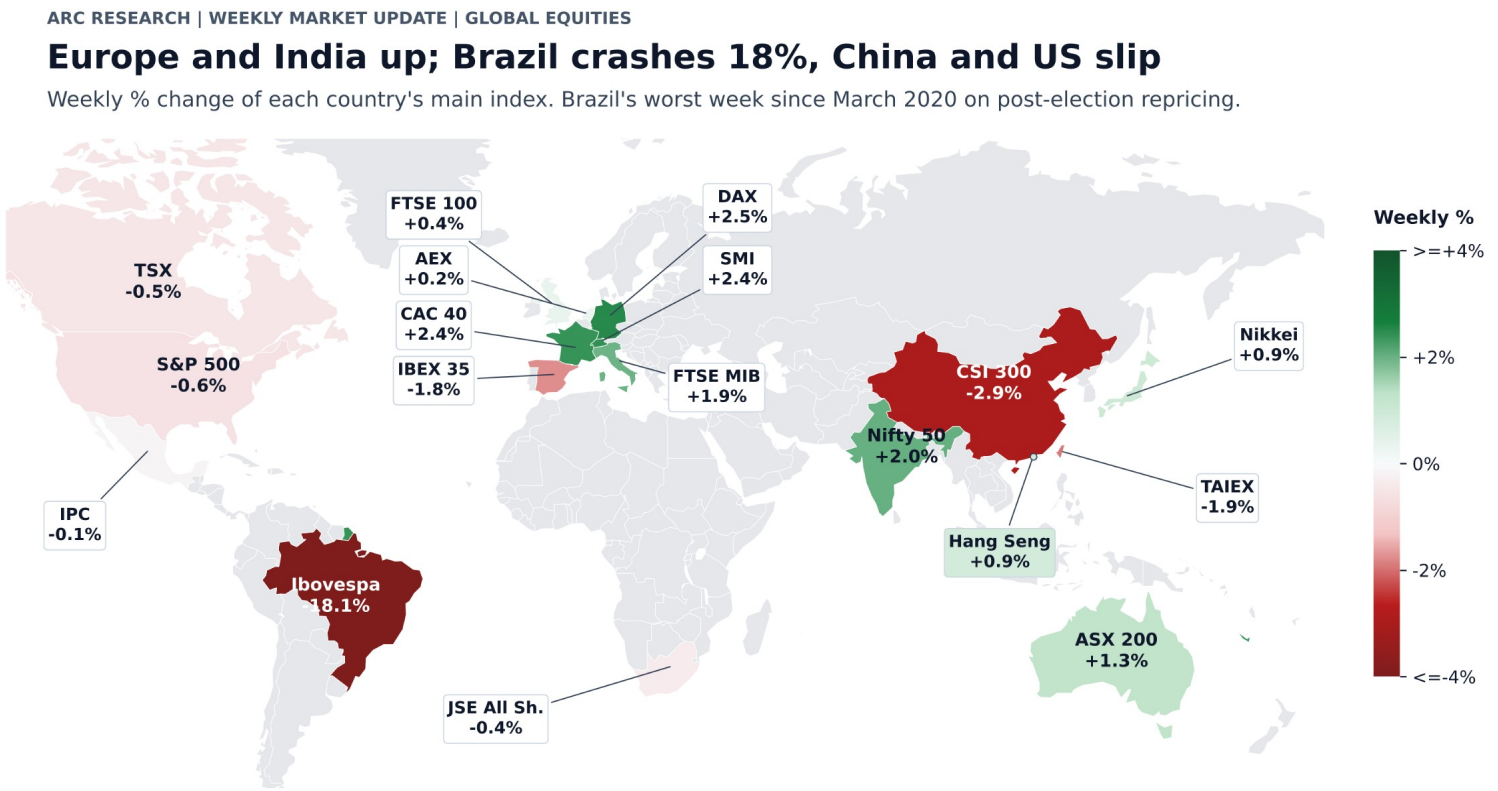
Europe up, Brazil crashes, oil above $100

33 World equities map

34 FX, commodities, crypto

GLOBAL · EQUITIES

Europe and India up; Brazil −18%



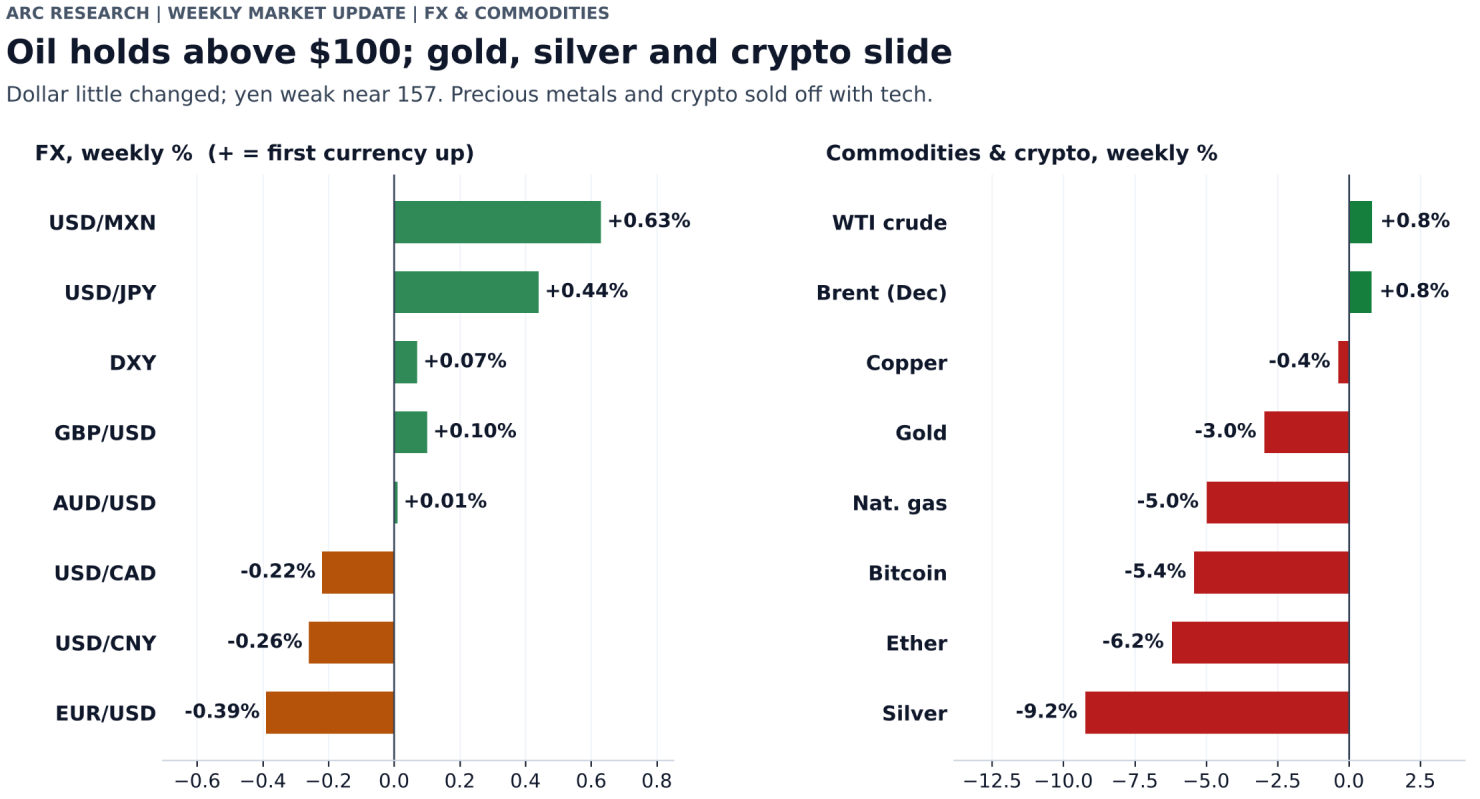
SO WHAT

Ibovespa −18.1%: worst week since 2020

DAX +2.5%; euro GDP beat

Asian tech hubs fell with US chips

Oil holds above $100; metals and crypto slide



SO WHAT

WTI $104, Brent $118: Iran risk

Gold −3% to a one-year low

Dollar flat; yen weak near 157.6

SECTION 5 OF 5

Week ahead

Midterms, jobs, the BoE and Apple

36 Calendar, Nov 2–6
37 Midterms: market odds
38 Midterms: what history says

Midterms Tuesday, jobs Friday

ARC RESEARCH | WEEKLY MARKET UPDATE | WEEK AHEAD

Midterms Tuesday, jobs Friday, BoE Thursday

Key US and global events, Nov 2-6, 2026 (times ET where known).

MON Nov 2	TUE Nov 3	WED Nov 4	THU Nov 5	FRI Nov 6
ISM manufacturing	US MIDTERM ELECTIONS	ADP employment	BANK OF ENGLAND	OCTOBER JOBS REPORT
Apple results (AMC)	JOLTS	ISM services	Norges Bank decision	8:30 ET; Sep +29K, UR 4.2%
Palantir results (AMC)	RBA decision	Treasury refunding	Jobless claims	Consensus ~+65K (1 source)
	AMD results	Riksbank decision		
		Qualcomm, Arm, Uber results		

Source: BLS, ISM, Treasury and central-bank calendars; earnings dates as reported in press. Payrolls consensus single-source; Sep payrolls/UR from BLS.

SO WHAT

Payrolls: ~+65K expected

BoE hike nearly fully priced

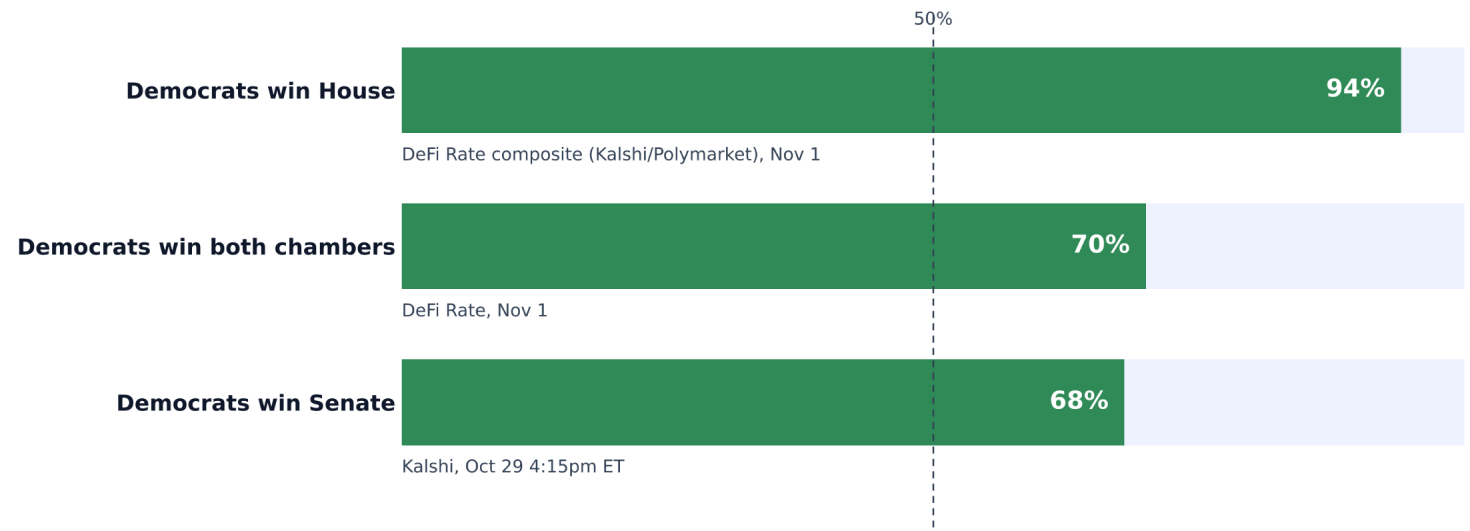
Apple Monday tests the tech mood

What prediction markets price

ARC RESEARCH | WEEKLY MARKET UPDATE | MIDTERMS (NOV 3)

Prediction markets price a Democratic House as near-certain

Market-implied probabilities from prediction markets; not forecasts or an ARC Research view.



Source: DeFi Rate prediction-market snapshot (Nov 1, 2026); Kalshi Senate contract (Oct 29, 2026, 4:15pm ET). Different venues and timestamps; not directly comparable.

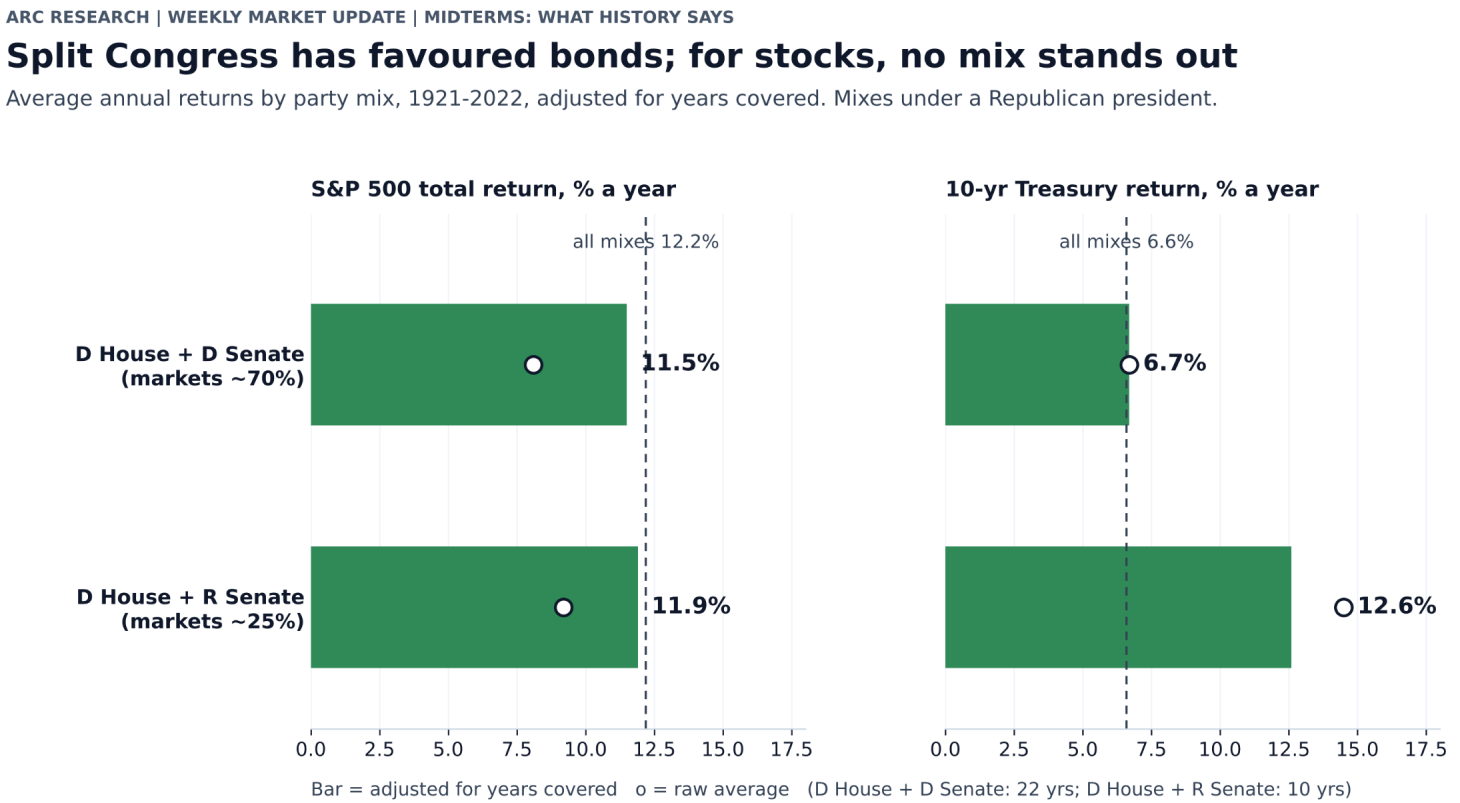
SO WHAT

House flip ~94% priced

Senate less certain: ~68%

Watch: AI, data-center, bank rules

Power beats polarization



SO WHAT

Stocks: no mix stands out

Split Congress: best for bonds

Gap at record +2.44 SD, no signal

ARC RESEARCH VIEW (A VIEW, NOT ADVICE)

Four signposts for the next two weeks

1 · AI returns

Capex up, patience down

Watch: Apple Mon, Nvidia mid-Nov

2 · Fed in December

Hike is the base case

Watch: payrolls Fri, CPI mid-Nov

3 · Rotation

Small caps, Europe lead

Watch: Russell vs Nasdaq ratio

4 · Oil and Iran

$100 oil, inflation risk

Watch: Hormuz, post-midterm talks

SOURCES

Where the numbers come from

Equities · AP index tables (via La Nación); tapeboard.com (sectors, movers); FactSet; First Trust (small caps); FRED, Yahoo Finance (technicals, Russell value/growth); Royce

US data · BEA (GDP, PCE); BLS (ECI, payrolls); Conference Board; MNI Chicago PMI; DOL claims

Earnings · Microsoft, Amazon, Meta, Alphabet (SEC 8-K), Samsung, SK hynix releases; Intel via press; Reuters (bond deals)

Global & FX · Trading Economics (CFD-based); Forbes Brasil, Seu Dinheiro (Ibovespa); The Glass Desk (crypto)

Fed & rates · Federal Reserve statements; US Treasury par yield curve; CME/Kalshi/Polymarket via press, DeFi Rate

Central banks · Bank of Canada; Bank of Japan; ECB (press-reported); Bank of England calendar

AI · Artificial Analysis Intelligence Index (retrieved Nov 1); Meta pricing release; Anthropic S-1 (SEC EDGAR); Reuters, FT

Midterms · DeFi Rate, Kalshi; ARC Research Partisan Policy Gap study (Voteview, Shiller). Map: Highcharts

"Ours" = ARC Research calculation. Press-reported and unconfirmed figures are labelled on each chart. Educational purposes only, not investment advice.